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CLAIM COMPLAINTS

Insurance companies often reject claims that do not make sense to them or seem suspicious. It is a routine part of their business. So, the number of complaints against an insurance company per 10,000 claims made is an important metric that depicts the company's tendency to honour claims and not reject them. So, we will go ahead with companies that have low complaints per 10,000 claims.

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TOP-UP PLANS

They are insurance plans that are added over the base plan to increase the cover at a relatively lower cost. For instance, a person might have a base plan of Rs. 2 lac as the sum insured. He may take an add-on of Rs. 8 lac. In case of a health-related expense, the first Rs. 2 lac will be paid by the base insurance company and any amount over Rs. 2 lac, will be paid by the top-up insurance company. Top-up plans increase the coverage at a significantly lower premium price.

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RESTORATION OF COVER

Health insurance policies offer a restoration of the cover in the same period if the liability arises due to an unrelated illness in the same year. For instance, if we have a cover of Rs. 10 lac that we have exhausted due to disease A and have another liability of Rs. 8 lac due to disease B, the insurance policy will cover both these liabilities if it has restoration benefits. The catch is that the two diseases should be unrelated.

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FLOATERS V/S INDIVIDUAL

Individual plans refer to those policies where only an individual is being covered by the policy. At the same time, floater plans are those where all members in the policy (generally a family) are covered to the combined extent of the sum insured. This means that the insurance company covers costs relating to the illness of any of these members. If insuring for the entire family, we will go for the Family Floater policy, and if only for ourselves, we will opt for an individual policy.